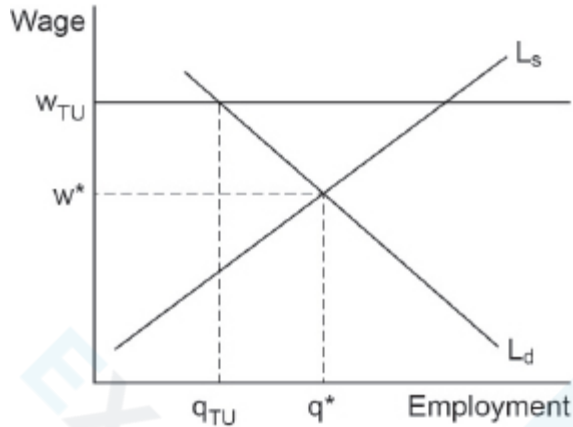


1.

Level of response	Response:	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7–9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4–6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1–3 marks

Suggested diagram

A labour market diagram is expected, showing how trade unions can negotiate for a higher wage than that prevailing in an otherwise competitive labour market. However, other appropriate diagrams should be given credit, for example a diagram showing the impact of a trade union negotiated wage in a monopsonistic labour market (such as the market for hospital workers in the UK), or a diagram showing a labour supply curve shifted to the left.



Relevant issues include:

- definitions of trade union and pay
- explanation of the diagram, showing impact of higher wage and comparison with non-unionised wages. Analysis of impact on employment is not expected.
- how a union may engage in collective bargaining for the benefit of its members
- explanation of types of actions taken by unions, such as strikes, work-to-rule, litigation, media campaigning, and how they can lead to higher negotiated pay settlements
- how a union may act as a monopoly supplier, or at least have some degree of monopoly power in the labour market
- use of extracts (particularly Extract C) in explaining how unions have acted to protect the interests of workers and secured higher pay.

[9]

2.

D

[1]

**3.****Areas for discussion include:**

- definitions/explanations: free market, supply-side, supply-side reforms, labour markets, macroeconomic performance
- explaining different free market supply-side reforms to labour markets such as:
 - flexible working practices
 - trade union reforms
 - changes to income tax
 - changes to benefits
 - legislation changes and deregulation
- explaining the benefits of supply-side labour market reforms such as:
 - lower inflation rates due to lower costs of production
 - lower unemployment rates due to flexible working
 - improved export performance due to improved competitiveness
 - increased economic growth due to rising productivity
 - attracting FDI and both short-run and long-run growth
- explaining the problems of supply-side labour market reforms such as:
 - rising costs to firms due to retraining costs
 - insecurity leading to a lack of investment in human capital and growth
 - welfare benefit cuts leading to a lack of consumption, AD and growth
 - instability for individuals and low real wages
 - possible damages to economic growth through low wages, low skill and low productivity
- considering other factors other than the macroeconomic performance such as effects on standards of living, government finances or inequality
- considering or contrasting with interventionist supply-side approaches
- considering the long-term or short-term effects
- considering impacts on various markets, such as the impact of zero-hours contracts on the housing market.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

4.

C

[1]

**5.****Areas for discussion include:**

- explanation of the distinction between wealth and income
- the sources of wealth (inheritance, gifts, accumulated earned income, etc.)
- the sources of income (wages, rent, interest, dividends, etc.)
- the trends in wealth and income inequality in the UK
- how useful it is to consider inequality as a snapshot in time rather than looking at inequality across entire lifetimes (eg students are very likely to have low income, but likely to have high social mobility)
- the consequences of wealth inequality
 - unequal distribution of property, causing some to live in low-quality homes, or having to frequently move house
 - asset bubbles and property speculation
 - the hindrance of social mobility via the wealthy affording better education, health, cultural goods
 - impact on poverty, including child poverty and pensioner poverty
 - impact on income inequality, as wealth creates income via interest, rent and dividends
 - the argument that only the wealthy can afford to take big risks as entrepreneurs, so have access to high risk/ high reward opportunities
 - envy and jealousy leading to social problems
 - intergenerational problems arising from (mainly) property inequality, the changing nature of university funding
- the consequences of income inequality
 - a sense of unfairness, especially if associated with discrimination or gender/race-based pay gaps
 - impact on aggregate demand
 - impact on economic growth and performance
 - impact on social indicators, such as crime, education, physical health, mental health
 - several of the factors listed above under wealth inequality
- analysis of policies currently used by the UK government (eg inheritance tax, income tax, capital gains tax, national insurance) and whether these are progressive, proportional or regressive
- analysis of other possible policies such as restrictions on second homes, 'mansion tax', forcing independent schools to charge VAT
- analysis of policies to prevent inequality between the top 1%/0.1% and the rest of the population
- the tendency of markets to increase rather than decrease inequality
- the argument that wealth and income inequality are not serious issues because of the trickle-down effect
- the argument that some degree of income and wealth inequality is inevitable in a market economy and perhaps desirable, to provide incentives and allocate resources effectively
- the argument that neither is worse than the other, that they are equally damaging.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles to the given context and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes application to the given context which, at best, is very weak • includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

**6.****Areas for discussion include:**

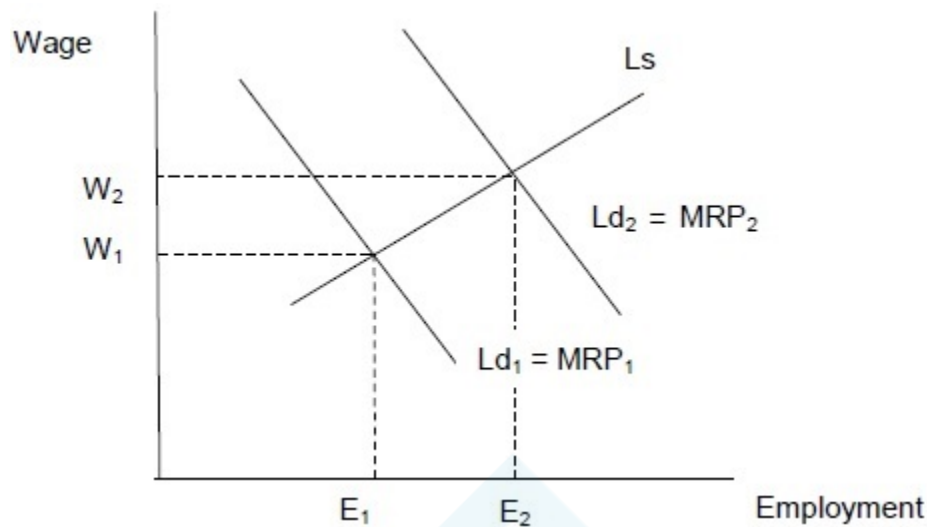
- what is meant by technological progress
- the historical impact of technological progress and how it has affected labour markets
- current issues around technological unemployment (eg self-service supermarket checkouts, driverless trucks, self-service ticket machines)
- the likely impact on jobs and wages
- concerns about the impact of technological progress on inequality and poverty, linked to regional and sectoral differences (making use of Extract D)
- labour market imperfections which make it difficult for unemployed worker to transfer into other jobs or locations
- how automation is now threatening well-paid, high-status jobs such as surgeons and accountants, not only manufacturing or retail work, and that the determining factor for automation risk is whether the tasks are routine or varied
- the optimists' argument that robots will only be used where profit can be made, and this requires a customer base who need to have a source of income (most likely to come from wages)
- the benefits of allowing the price mechanism to function
- analysis and assessment of the consequences of technological progress as a result of dynamic efficiency on costs, output, quality in product markets
- analysis and assessment of: the UBI proposal, a robot tax, retraining programmes, job creation programmes or any other appropriate form of intervention
- discussion of possible government failure when designing policies in such a fast-moving area
- the case against intervention, to allow market forces to redistribute labour and other factors of production to where they are demanded
- the view that the basic economic problem of scarcity is unlikely to be solved and hence new jobs will always be created to replace those that are lost
- evaluation of how much automation is actually a problem that needs to be addressed
- market failure arguments
- government failure arguments.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

Level of response	Response	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7 – 9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present. - includes reasonable application of relevant economic principles and/or data to the question. - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4 – 6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1 – 3 marks

A labour market diagram is expected, showing the MRP curve shifting right, as technological progress increases labour productivity.



- other reasonable diagrams are acceptable, eg cost curve diagrams.

Relevant issues include

- how automation and technological progress boost labour productivity within industries and markets
- connection between MPP, MRP and the demand for labour
- why labour productivity is likely to affect the wage rate
- how machines create a derived demand for workers who can maintain the machines, and the impact of this on jobs and wages
- how advances in technology can lead to new products **and/or** lower prices creating derived demand for workers to produce the good and therefore higher wages
- how advances in technology can lead to lower costs and an increase in profits which may lead to an increase in wages.

[9]

8.

C

[1]

9.

C

[1]

Level of response	Response	Max 25 marks
Level 5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
Level 4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16 – 20 marks
Level 3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
Level 2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6 – 10 marks
Level 1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes analysis which is, at best, very weak • includes attempted evaluation which is weak and unsupported.	1 – 5 marks

**Relevant issues and areas for discussion include:**

- explanation of the NLW as a legal minimum wage for those over 25
- analysis of the impact of a minimum wage in competitive labour markets
- the significance of the wage elasticities of the demand and supply of labour for the impact on employment/unemployment
- factors which may affect the elasticities of demand and supply of labour
- analysis of the impact of a minimum wage in a labour market where employers have monopsony power
- possible impact of a minimum wage on aggregate demand, given the different propensities to consume of different income groups
- evidence of the impact of minimum wage controls on unemployment in the UK, and possibly in other countries
- the significance of new technologies (eg AI) and how they may impact on workers who are affected by a substantial increase in the NLW
- discussion of the impact of a substantial increase in the NLW on costs, prices, profits and competitiveness
- discussion of ways in which the NLW may affect productivity, offsetting the impact on costs and competitiveness
- the impact on inequality and living standards, perhaps making use of the evidence in **Extract D**
- discussion of whether a substantial increase in the NLW is an effective way to reduce poverty and inequality
- the impact on wage differentials and the implications for the economy
- relevant use of the data to support analysis and evaluation of arguments presented
- normative arguments relating to a substantial increase in the NLW
- impact on tax revenue and government spending on welfare
- discussion of whether the organisation should be promoting other policies to improve living standards rather than focusing its efforts on pushing for a substantial increase in the NLW
- weighing up the arguments on both sides before coming to a well-supported recommendation

Good answers are likely to include arguments both for and against a further substantial increase in the NLW and a well-supported recommendation which could be for or against a substantial increase in the NLW.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a candidate's response to the question.

An answer that does not include any evaluation or a supported recommendation must not be awarded more than 13 marks.

[25]

11.

D

[1]

12.

A

[1]

**13.****Areas for discussion include:**

- trends in social care since privatisation in the 1990s and how privatisation may have led to lower pay, certainly compared to remaining state care providers
- rising pressures on the sector as a result of an ageing population with increasing care demands
- social care as a merit good and market failure arising from the external benefits of social care
- lack of funding from central government, restricting local government ability to pay for care
- low pay in the care sector, job insecurity and the fact that many are leaving the care sector for jobs in retail and supermarkets for better pay and conditions
- the lack of labour supply is threatening the sector, with high levels of job vacancies (38% of care homes understaffed, 6.6% of roles vacant)
- reports of inadequate care in some care homes and the link between low pay, low motivation and inadequate care
- bankruptcy of care home providers
- ineffective regulation by the Care Quality Commission/risk of regulatory capture
- market failure arising from the low incomes of many of those requiring care
- discussion of the lack of integration between the care sector and the NHS
- discussion of a range of policies to include
 - more generous government funding for local authorities
 - subsidies for private providers
 - nationalisation
 - hypothecated tax for care funding/additional taxation
 - a more generous National Living Wage to encourage labour supply
 - a less generous National Living Wage to ease the pressure on care home companies
 - more investment in training, career development, status, etc
 - promoting union membership
 - professionalisation of workforce to raise standards
 - relaxing immigration policy for care workers to ease recruitment problems
 - providing people in need of care with increased cash welfare benefits to help them purchase their own care
 - introduce a compulsory insurance system providing people with the ability to purchase their own care
- discussion of how the market is likely to develop in the absence of government intervention and whether the low pay of care workers is likely to be rectified by the market itself
- discussion of how care might improve if the private sector were to be given a greater role in the care market
- market failure arguments
- government failure arguments.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes attempted evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

Response	Max 4 marks
- includes evidence that there is likely to be substantial upward pressure on the wages of care workers by 2041 - clearly explains how this data is evidence that there is likely to be substantial upward pressure on the wages of care workers by 2041	4 marks
- includes evidence that there is likely to be substantial upward pressure on the wages of care workers by 2041 - explanation of how this data is evidence that there is likely to be substantial upward pressure on the wages of care workers by 2041	3 marks
- includes some evidence that there is likely to be substantial upward pressure on the wages of care workers by 2041 - limited explanation of how this data is evidence that there is likely to be substantial upward pressure on the wages of care workers by 2041	2 marks
- includes evidence that does not clearly show that there is likely to be substantial upward pressure on the wages of care workers by 2041 - no explanation of how this data is evidence that there is likely to be substantial upward pressure on the wages of care workers by 2041.	1 mark

Relevant issues include:

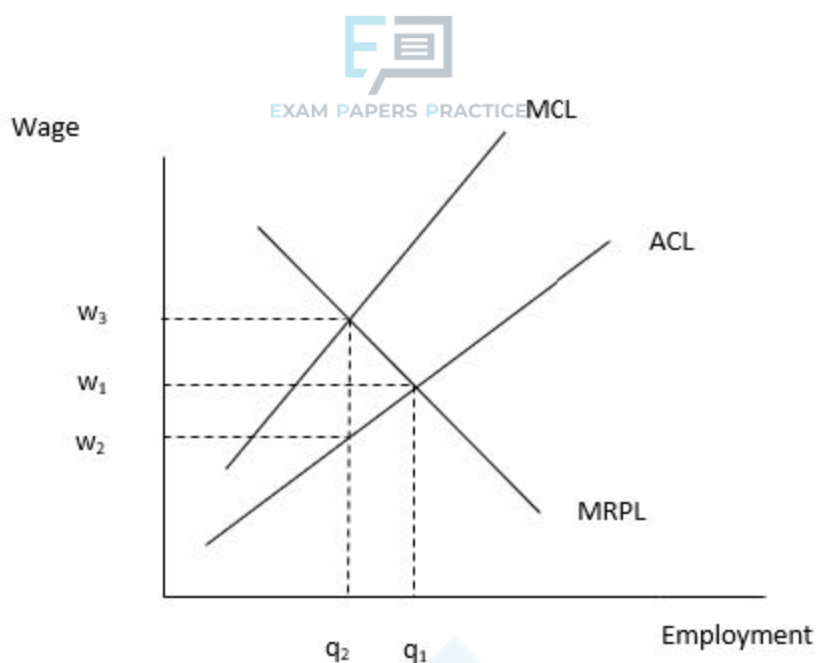
- the data show that the UK population is expected to grow by 2041 from 65 648 000 to 72 905 000, by 11%, but the growth in the population is very uneven
- the size of the elderly population is set to grow from 10 250 000 to 14 545 000, by 41.9% (65–84 year-olds), from 1 436 000 to 2 887 000, 101% (85–94) and from 128 000 to 360 000, 181% (95+), but the size of the population of working age is only forecast to grow from 39 182 000 to 39 930 000, by 2.0% in the same period.
- the very elderly, 85+ and 95+, have more complex, acute and numerous care needs so require more care than the recently retired
- given the rapid growth in the elderly population, one would expect demand for care to rise rapidly, and thus the derived demand for care workers to also rise rapidly
- at the same time, the negligible growth in the working age population suggests that the supply of labour into the care sector is likely to grow slower than the demand for labour, so wages are likely to rise
- these two factors suggest excess demand for care workers at existing wage rates, and thus upward pressure on wages.

[4]

15.

Level of response	Response:	Max 9 marks
3	• is well organised and develops one or more of the key issues that are relevant to the question • shows sound knowledge and understanding of relevant economic terminology, concepts and principles • includes good application of relevant economic principles and/or good use of data to support the response • includes well-focused analysis with a clear, logical chain of reasoning • includes a relevant diagram that will, at the top of this level, be accurate and used appropriately	7 – 9 marks
2	• includes one or more issues that are relevant to the question • shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and/or data to the question • includes some reasonable analysis but it might not be adequately developed and may be confused in places • may include a relevant diagram	4 – 6 marks
1	• is very brief and/or lacks coherence • shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • demonstrates very limited ability to apply relevant economic principles and/or data to the question • may include some very limited analysis but the analysis lacks focus and/or becomes confused • may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1 – 3 marks

A monopsonistic labour market diagram is expected, showing employment of q_2 workers at a wage of w_2 , below the perfectly competitive levels of employment and wage, and below the MRP of the workers who are employed.



Relevant issues include:

- explain what is meant by monopsony
- explanation of the diagram, showing an equilibrium level of employment below the competitive level, and a wage below the MRP of labour, and below the competitive market wage rate
- the outcomes in the labour market: low pay and low employment
- the nature of government's monopsony power in the care worker labour market prior to privatisation in the 1990s, arising from the fact that almost all care was in the public sector
- the nature of the monopsony power that currently exists in the care sector, as care homes bid competitively for care contracts from monopsonistic local authorities, thus receiving low revenues and being unable to afford higher wages to care workers
- in order to win care contracts, care homes may engage in a competitive tendering process with monopsonistic councils, giving them an incentive to offer a low price and that those firms who win contracts by offering a lower price will find that they have small budgets from which to pay staff
- how privatisation has affected low pay by exposing workers to monopsony labour market power combined with the profit motive of private-sector care homes.

[9]

16.

B

[1]

17.

B

[1]

**18.****Areas for discussion include:**

- there is a significant negative ethnic pay gap between White British and most other workers, with particularly large gaps between Bangladeshi and Pakistani workers
- reasons why the pay gap exists
- reasons why the pay gap differs across different ethnic minorities
- reasons why the pay gap seems to be declining
- recognition that the pay gap exists even after controlling for education and occupation
- costs of the pay gap (eg inefficiency/misallocation of workers and resources, inequality, poverty, unfairness)
- macroeconomic impacts of the ethnic pay gap (eg reduced GDP)
- the fact that some ethnic groups earn more than White British workers, suggesting that this is not necessarily a problem of discrimination or unfairness, but more a reflection of cultural, educational and social differences and inequalities
- discussion of a range of policies to include:
 - anti-discrimination legislation (already in place)
 - requiring all/large firms to disclose data about ethnic pay gaps
 - requiring all/large firms to publish policies to close existing pay gaps
 - public sector organisations leading by example with transparency and plans to tackle the pay gap
 - accepting foreign qualifications such as school certificates, driving licences, etc
 - ethnic quotas on boards of companies/senior management roles
 - encouraging greater labour force participation by certain ethnic groups
- overall view of whether policies aimed at reducing the pay gap would be beneficial
- market failure arguments
- government failure arguments.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
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2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**19.****Areas for discussion include:**

- explanation of the gig economy and the difference between terms of employment in the gig economy and standard employment
- discussion of the emerging trends that have contributed to the rise of the gig economy, such as technological progress and online commerce
- what is meant by the 'interests of people who are working in the gig economy'
- discussion of the reasons why some roles/industries are more likely to arise in the gig economy than others
- the benefits of gig economy work to the individual, such as: flexibility over hours, ease of switching between jobs, autonomy from having no supervising manager
- the costs of gig economy work to the individual, such as lower pay and fewer non-wage benefits (for example pension, health insurance, maternity benefits)
- analysis of why wages may be lower and working conditions worse in the gig economy than in the formal sector
- benefits and costs of the gig economy to firms and the wider economy, such as greater labour mobility, lower costs of production, economic efficiency
- discussion of the impact of the pandemic on the gig economy
- discussion of possible policies, such as legislation, raising minimum wages, guaranteeing minimum hours for all roles, redefining gig economy workers as 'employed' rather than 'self-employed'
- the argument that the need for government intervention is reduced by the existence and growth of trade unions representing gig economy workers
- the argument that the need for government intervention is reduced by the fact that some firms in the gig economy are improving conditions for their workers anyway
- use of examples
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

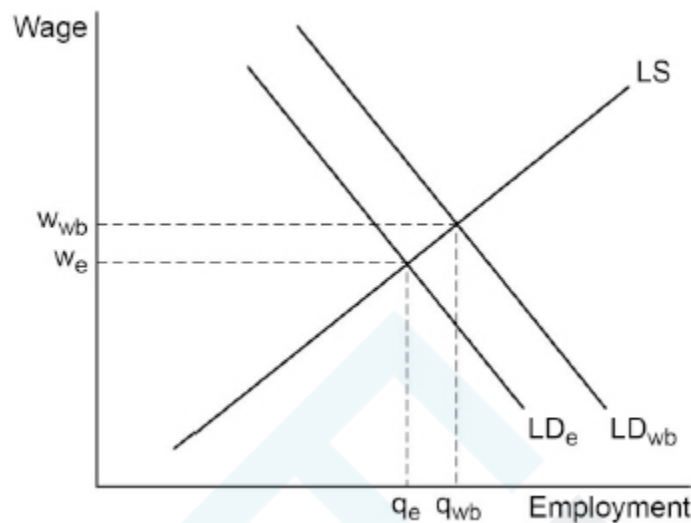
Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes attempted evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1–5 marks

[25]

Level of response	Response	Max 9 marks
3	- is well organised and develops one or more of the key issues that are relevant to the question - shows sound knowledge and understanding of relevant economic terminology, concepts and principles - includes good application of relevant economic principles and/or good use of data to support the response - includes well-focused analysis with a clear, logical chain of reasoning - includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7 – 9 marks
2	- includes one or more issues that are relevant to the question - shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and/or data to the question - includes some reasonable analysis but it might not be adequately developed and may be confused in places - may include a relevant diagram.	4 – 6 marks
1	- is very brief and/or lacks coherence - shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - demonstrates very limited ability to apply relevant economic principles and/or data to the question - may include some very limited analysis but the analysis lacks focus and/or becomes confused - may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1 – 3 marks

A labour market diagram is expected, showing how market demand for the labour of White British workers (LD_{wb}) may exceed that of ethnic minority workers (LD_e). For a given labour supply curve, this is likely to result in lower wages for ethnic minority workers (and lower employment levels).

However, other appropriate diagrams should be given credit.



Relevant issues include:

- explanation of the diagram
- explanation of the importance of qualifications in applying for positions in the labour market
- types of qualifications which UK employers value, eg GCSEs, A-Levels, degrees, PhDs
- explaining that firms will have different demand for workers if only some qualifications are accepted, even if the workers are otherwise identically qualified
- even if foreign qualifications are legally acceptable, UK employers may not know much about them and thus discount them in recruitment and promotion decisions
- link between not recognising foreign qualifications and perceived MRP of some ethnic groups
- different elasticities of supply between different ethnic groups due to problems with recognition of foreign qualifications
- impact on labour supply of skills and qualifications (NB: students who draw a diagram showing different labour supply curves must justify their choice of diagram by providing analysis of why the labour supply curves differ)
- the failure to recognise foreign qualifications may lead to workers with foreign qualifications working in labour markets where few skills are needed, increasing the supply of labour and reducing the average pay of some ethnic groups.

[9]

21.

Response	Max 4 marks
- includes evidence that the ethnic pay gap is more significant for older ethnic minority employees - clearly explains how this data is evidence that the ethnic pay gap is more significant for older ethnic minority employees.	4 marks
- includes evidence that the ethnic pay gap is more significant for older ethnic minority employees - explanation of how this data is evidence that the ethnic pay gap is more significant for older ethnic minority employees.	3 marks
- includes some evidence that the ethnic pay gap is more significant for older ethnic minority employees - limited explanation of how this data is evidence that the ethnic pay gap is more significant for older ethnic minority employees.	2 marks
- includes evidence that does not clearly show that the ethnic pay gap is more significant for older ethnic minority employees - no explanation of how this data is evidence that the ethnic pay gap is more significant for older ethnic minority employees.	1 marks

Relevant issues include:

- explanation of what is meant by the ethnic pay gap
- in all ethnic groups shown where there is a negative pay gap, the gap is greater for those aged 30+ than those aged 16–30
- Bangladeshis have the biggest difference in pay gap by age (27.9% for over 30s vs 3.1% for 16–30s)
- very small difference in pay gap by age for 'Any other Asian' though the gap still exists
- In all ethnic groups shown where there is a positive pay gap, the gap is less for those aged 30+ than those aged 16–30
- workers of Chinese ethnicity earn more than White British workers, but the gap is less for over-30s (30%) than 16–30s (42%).

[4]

22.

Calculation: $£28\,677 \times 0.798 = £22\,884.25$

Answer: £22 884

Response:	Max 2 marks
For the correct answer, to the nearest pound, with units	2 marks
For the correct answer but not rounded to the nearest pound, and/or without units OR For the correct method, but the wrong answer, to the nearest pound, with units	1 mark

[2]

23.

A

[1]

**24.****Areas for discussion include:**

- definition of disposable income, pre-tax income
- explanation of why incomes differ in a market economy, for example through differences in supply and demand for labour in different labour markets
- understanding that incomes can include not solely wages, but also other sources of income such as rent, interest and dividends
- advantages and disadvantages of policies that can be used to reduce inequality in pre-tax incomes
 - improving social mobility
 - ensuring equal opportunities in terms of education, health, labour market access and other determinants of incomes
 - minimum wages and maximum wages
 - tackling labour market monopsony power to prevent exploitation of workers
 - tackling product market monopoly power to prevent excessive dividends from large firms
- advantages and disadvantages of policies that can be used to redistribute income after incomes have been received such as income tax, national insurance and the provision of welfare benefits
- evaluation of policy impacts on government finances, social mobility, incentives to work and take risks, social capital
- discussion of how inequalities in the distribution of wealth can lead to inequalities in the distribution of income, and therefore policies to reduce wealth inequality may help reduce inequalities in income
- considering the extent to which inequality is undesirable and whether the government should intervene
- an assessment of the relative merits of policies to reduce inequality in pre-tax incomes compared to using the tax-benefit system to reduce inequality in disposable income.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes attempted evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1–5 marks

25.

Areas for discussion include:

- explanation of inequality and how it can relate both to pre-tax and post-tax incomes
- how market incomes include wages, rent, interest and profit dividends
- how labour markets can lead to a wide range of wages as a result of differences in labour demand, marginal revenue product (MRP), labour supply
- how discrimination affects wages and inequality
- how wealth inequality can lead to income inequality as rent, interest and profits tend to accrue to those who are wealthy
- how inequality in income can be the result of inequalities in opportunities from an early stage, including education, health, nutrition and regional disparities
- how other labour market imperfections might lead to rising inequality
 - monopoly and monopsony power
 - information asymmetry
 - externalities
 - immobile factors of production
- use of examples.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response:	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11–15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6–10 marks
1	A weak response provides an answer that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1–5 marks

[15]